Demand Pulse

Surge Pricing Policy Review for Operations Leadership

₹4.1L

annual cost of misaligned surge pricing

50,000
orders analysed

7
cities covered

90
days of data

Bhoumik Parmar · Infinia Technologies FutureAI Assessment · May 2026

Stable demand with structural surge inefficiencies across three dimensions

1 — 2 — 3 — 4 — 5

1. Data Quality

Zero nulls, zero duplicates, 90-day complete coverage

2. Pattern Discovery

Hour × Day × City demand decomposition across all 7 cities

3. Surge Mismatch

Overlaid surge rates on demand to identify three divergence points

4. Forecast

Trend + seasonal decomposition with 95% confidence band

5. Recommendations

Three quantified fixes with impact sizing and risk assessment

12–1pm & 7–9pm

Two peak windows

47.7% of all orders concentrate in just 5 hours. Consistent across all 7 cities and all 7 days.

72% vs 45%

Weekend surge gap

Weekend dinner surge is 27pp higher than weekday — but order volume per day is nearly identical at ~160 orders.

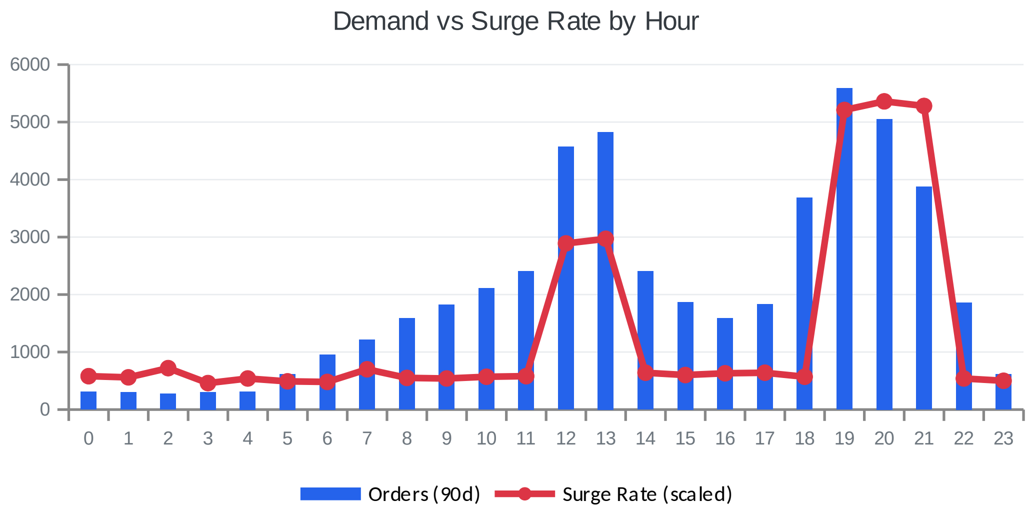
556 ± 23

Stable daily demand

No growth trend detected. Demand is flat and predictable. The savings are in redistribution, not expansion.

Source: 50,000 orders, Jan–Mar 2025, 7 cities | Surge premium: ₹20/order (industry avg)

Surge pricing diverges from demand at three points — costing ₹4.1L annually



FINDING 1 ₹1.2L/year

Off-Peak Surge Waste

5.4% surge rate during off-peak hours with no supply constraint. Delivery at baseline 37 min.

FINDING 2 ₹89K/year

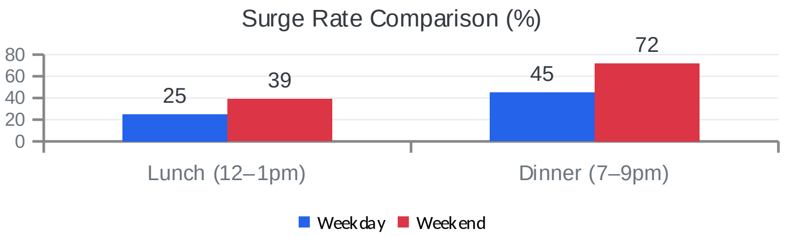
Weekend Dinner Over-Surge

72% surge on weekends vs 45% weekday at dinner. Same demand volume (~160 orders/day).

FINDING 3 ₹2.4L/year

Pre-Dinner Blind Spot

52% demand jump 6pm→7pm, surge jumps 815%. System is reactive, not predictive.



KEY INSIGHT

Weekend dinner demand ≈ weekday dinner demand.
But surge rate is 27 percentage points higher.

This is a supply problem (fewer riders on weekends), not a demand problem. The fix should target rider availability through shift bonuses, not just price caps.

Source: 50,000 orders, Jan–Mar 2025 | Surge premium: ₹20/order

Three policy changes can save ₹4.1L annually — first two are implementable this week

01

₹1.2L/yr

Eliminate off-peak surge entirely

Set surge threshold to zero outside 12–1pm and 6–9pm. No supply constraint exists — delivery time at baseline 37 min.

Edge case: Exception list for major event nights (NYE, IPL) in metro cities.

Risk: NONE   Timeline: **1 day**

02

₹89K/yr

Cap weekend dinner surge at 50%

Reduce from 72% to 50%. Add ₹250/day weekend shift bonus to structurally improve rider supply on weekends.

Edge case: Monitor p95 delivery time. If >70 min, raise cap to 55% and increase shift bonus pool.

Risk: LOW   Timeline: **1 week**

03

₹2.4L/yr

Pre-position riders at 5–6pm for dinner

Use 5–6pm velocity as trigger. Offer pre-position bonus at ₹12/order (vs ₹20 surge). A/B test in Bangalore first.

Edge case: Alternating-day design, 4 weeks. Guardrail: rider earnings and p95 delivery time.

Risk: MEDIUM   Timeline: **4–6 weeks**

COMBINED IMPACT

₹4.1 Lakh	₹1.2L + ₹89K	₹2.4L additional	Stable ~550/day
Total Annual Savings	Immediate (this week)	After A/B validation	Demand outlook

Savings estimated at ₹20 surge premium/order. Calibrate with actual rider incentive data.

What's needed to move from analysis to action

WITH ANOTHER WEEK

- **Backtest the forecast**
  Hold-out validation with MAPE and CI coverage metrics
- **Weather + holiday covariates**
  Monsoon and festive season demand adjustment layer
- **Surge simulation tool**
  Let Ops adjust thresholds and see real-time impact
- **Anomaly detection alerts**
  Slack alerts when daily orders deviate >2 standard deviations
- **City-level surge engine**
  Replace fixed rules with real-time demand/supply ratio

WHAT I NEED FROM YOU

1. Real rider incentive data to calibrate the ₹20/order savings assumption with actuals
2. Rider availability data — online riders per hour per city — to confirm supply-side interpretation
3. Approval to A/B test the pre-positioning strategy in Bangalore starting next month

"The data infrastructure for these recommendations exists today. What's needed is the policy decision to act on them."